

ORIGINAL

(S E R V E D)
(May 26, 2004)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

May 26, 2004

DOCKET NO. 03-09

PUERTO RICO FREIGHT SYSTEMS, INC.

v.

PR LOGISTICS CORP.

COMPLAINT DISMISSED; SETTLEMENT APPROVED

By complaint served September 8, 2003, complainant Puerto Rico Freight Systems, Inc. (PRFS), a company engaged in the business of freight consolidation on the island of Puerto Rico, alleged that respondent PR Logistics Corp. (PR Logistics) was a business entity "engaged in the maritime business in the Commonwealth of Puerto Rico and throughout several islands in the Caribbean." PRFS alleged furthermore that PR Logistics had violated sections 5(a), 8, and 10 of the Shipping Act in various ways, specifically, by operating without a tariff, waiving fees for ocean freight, operating without issuing bills of lading, and competing with other freight operators who

adhered to tariffs to the disadvantage of these other operators. PRFS asked the Commission to issue a cease and desist order and claimed money damages of over \$25,000. Respondent PR Logistics denied that it had engaged in these alleged activities and stated that it had been engaging “in the inland transportation and warehousing business.”¹

Some time elapsed in this case because of certain technical defects in the complaint and because counsel for complainant was relocating from Puerto Rico to Baltimore, Maryland. The defects mainly concerned the lack of proper verification to the complaint and the failure to advise whether complainant wished to have the services of the Commission’s mediator. The parties advised that discovery would commence and requested 90 days for it to conclude and also that they had begun settlement discussions and agreed to seek the Commission’s mediation services. Subsequently it appeared that they had delayed using the discovery process but were still interested in mediation. I referred the case to the Commission’s Dispute Resolution Specialist, Mr. Ronald D. Murphy and directed the parties to meet with Mr. Murphy in San Juan, Puerto Rico on May 21, 2004. See Procedural Orders and Notice of Referral to Commission’s Mediator, December 15, 2003; Notice of Mediation Session and Order to Attend, May 18, 2004. With Mr. Murphy’s assistance as mediator, the parties were able to reach a settlement. With the agreement of the parties, Mr. Murphy has submitted the terms of the settlement agreement with a request that it be approved. See Submission of Stipulation of Agreement and Settlement and Request for Approval, attached to this ruling.

¹The complaint was unclear as to what was meant by the allegation that PR Logistics was “engaging in the maritime business” and complainant, by settling, does not wish to seek out evidence supporting its allegations. However, I officially notice that respondent PR Logistics has obtained an NVOCC license, effective April 28, 2004, and a bond, effective March 31, 2004, but has not yet published a tariff. See 46 C.F.R. 502.226(a). I also officially notice that complainant Puerto Rico Freight Systems, Inc. is a licensed and bonded NVOCC.

Discussion and Conclusions

The terms of the settlement agreement are simple. Respondent PR Logistics agrees to pay the sum of \$10,000 to PRFS as full settlement of all claims against respondent made by PRFS and also agrees to pay an additional penalty of 50-percent if respondent fails to pay this amount within ten days following issuance of the Commission's final notice of approval of this ruling. Payment of this sum will result in relieving respondent "of any liability or responsibility for claims by Complainant for violations alleged to have occurred prior to today." In effect, complainant is releasing respondent of liability for its alleged violations, which respondent does not admit to have committed, in return for payment of the aforesaid \$10,000 and, if necessary, an additional 50-percent.

As Mr. Murphy's submission correctly indicates, there is a long line of cases that have established a strong Commission policy that favors approval of settlements reached in complaint proceedings.² This policy has been followed in numerous Commission cases, the first of which in modern times has been the case of *Old Ben Coal Co. v. Sea-Land Service, Inc.*, cited above, 21 F.M.C. 506, 18 S.R.R. 1085. As explained in *Old Ben*, the task of the presiding judge and the Commission, when reviewing proffered settlement agreements, is not to rubber stamp them but to review them to see if they do not contravene any law or public policy and they are furthermore presumed to be fair, correct and valid absent any indication of fraud, duress, undue influence,

²Among the many Commission cases in which settlements were approved that Mr. Murphy cites are: *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 S.R.R. 975 (2002); *Crowley Liner Services, Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Authority*, 29 S.R.R. 971 (2002); *Puerto Rico Shipping Association v. Puerto Rico Ports Authority*, 27 S.R.R. 645 (1996); and *Old Ben Coal Co. v. Sea-Land Service, Inc.*, 21 F.M.C. 506, 18 S.R.R. 1085 (ALJ, finalized by the Commission, November 29, 1978).

mistake or any defects that might make them unapprovable despite the strong policy encouraging approval of settlements. *Old Ben*, 21 F.M.C. at 512-513 (18 S.R.R. at 1091-1094). Furthermore, the amount of payments by respondents in settlement agreements is a matter that is left to the bargaining of the parties. See *Great White Fleet, Ltd. v. Southeastern Paper Products Export, Inc.*, 26 S.R.R. 1487, 1489-1490 (1994).

The instant settlement agreement shows that the parties have decided that it is in their best interests not to expend the time and money to litigate claims and defenses but for respondent to pay complainant a sum satisfactory to complainant for complainant's alleged damages. As is customary in settlement agreements, there is no admission of violation of law by respondent but both complainant and respondent have evidently decided that it would be cheaper for them to settle on such terms than to seek to prevail after expensive litigation. I see nothing in the settlement agreement that appears to contravene any law or public policy nor that would rebut the presumption that the agreement is fair, correct and valid.

For the reasons given above, the settlement agreement is approved and the complaint is dismissed. However, in view of previous cases in which parties have failed to live up to their settlement agreements, the present approval and dismissal of the complaint is conditioned upon its

being adhered to. In the event of a breach of the settlement agreement, the complaint may be reactivated to determine the issues framed under the Shipping Act in that complaint.³


Norman D. Kline
Administrative Law Judge

³It is prudent to allow for the possibility that respondent might breach the settlement agreement because such breaches have occurred in several previous Commission cases, requiring revival of the complaint. See *Avalon Risk Management v. Deitchman*, 29 S.R.R. 1373, 1375 (2003) (complaint dismissed but may be refiled in the event of respondent's default on settlement agreement).

FEDERAL MARITIME COMMISSION
WASHINGTON, DC 20573

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DOCKET NO. 03-09

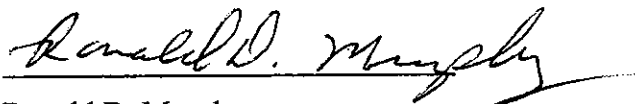
PUERTO RICO FREIGHT SYSTEMS, INC.
V.
PR LOGISTICS CORP.

SUBMISSION OF STIPULATION OF AGREEMENT AND SETTLEMENT
AND REQUEST FOR APPROVAL

The parties have entered into the attached Stipulation of Agreement and Settlement, and have requested that I submit the Stipulation for your approval. The agreement was reached through participation in mediation pursuant to the Commission's Alternative Dispute Resolution ("ADR") provisions under Subpart U of the Rules of Practice and Procedure, 46 C.F.R. § 502.401 *et. seq.* Under the terms of this agreement, Respondent agrees to pay the sum of \$10,000 in full settlement of all claims. The settlement reflects a weighing of the risks and costs inherent in future litigation, and a desire by both parties to avoid such litigation. The Commission issued Respondent an Ocean Transportation Intermediary license on April 28, 2004.

As you know, a long line of cases have established a Commission policy that favors approval of settlements reached in complaint proceedings. See, e.g., *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 S.R.R. 975 (2002), *Crowley Liner Services, Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Authority*, 29 S.R.R. 971 (2002), *Puerto Rico Shipping Association v. Puerto Rico Ports Authority*, 27 S.R.R. 645 (1996), and *Old Ben Coal Co. v. Sea-Land Service, Inc.*, 21 F.M.C. 506, 512, 18 S.R.R. 1085 (ALJ 1978).

In addition, the Commission has codified its strong policy in favor of utilizing ADR to obtain consensual approaches to dispute resolution, 46 C.F.R. § 502.401. Having served as mediator in this proceeding, pursuant to request of the parties, I submit for your approval their Stipulation of Agreement and Settlement, and their request for dismissal of this proceeding.

A handwritten signature in cursive script, reading "Ronald D. Murphy", written in dark ink.

Ronald D. Murphy

Federal Maritime Commission

Dispute Resolution Specialist

May 25, 2004

cc: Harry A. Ezratty, Esq., Counsel for Complainant
Ramon E. Surillo, Esq., Counsel for Respondent

FEDERAL MARITIME COMMISSION

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PUERTO RICO FREIGHT SYSTEMS, INC.

V.

PR LOGISTICS CORP.

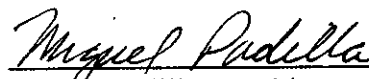
STIPULATION OF AGREEMENT AND SETTLEMENT

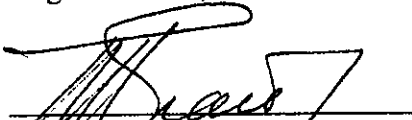
The parties have agreed to settle this proceeding under the following terms and conditions. This Stipulation represents the terms agreed to between the parties in full settlement of this proceeding, and this Stipulation shall be submitted for approval of the presiding Administrative Law Judge in this proceeding.

1. Complainant agrees to accept \$10,000 as full settlement of all claims against Respondent P. R. Logistics Corp. Within tens days after Commission issuance of a notice that the presiding Administrative Law Judge's approval of this settlement has become final. Respondent agrees to pay by certified or cashier's check, or any other means acceptable to Complainant, the full amount of \$10,000. Should payment fail to be made within ten days following issuance of the Commission Final Notice of approval, Respondent agrees to pay an additional 50% penalty to Complainant.

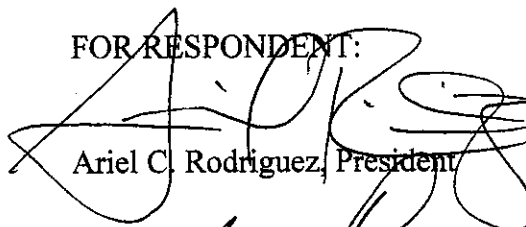
2. Payment of the agreed amount shall relieve Respondent of any liability or responsibility for claims by Complainant for violations alleged to have occurred prior to today.

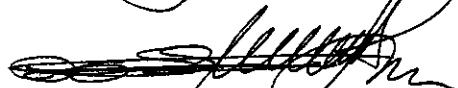
FOR COMPLAINANT:


Miguel Padilla, President


Harry A. Ezratty, Esq.
Counsel

FOR RESPONDENT:


Ariel C. Rodriguez, President


Ramon E. Surillo, Esq.
Counsel

Dated: May 20, 2004